



Market Debunk

#MARKETDEBUNK

Your ₹1,000
SIP

didn't make

₹4.67 Lakh.



The Retrospective *Performance Illusion*

✗ RETAIL ILLUSION

Retail belief: Past 10-year returns are a reliable predictor of future fund performance.

✓ INSTITUTIONAL TRUTH

Institutional truth: Retrospective returns are often skewed by bull market cycles and survivorship bias, ignoring funds that failed or merged.



The Hidden **Cost of** Asset Bloat

VERIFIED MARKET IMPACT

₹34,000+

estimated performance drag

As AUM swells, managers shift to 'closet indexing' to protect fees. This reduces active alpha, effectively costing investors significant potential gains compared to a low-cost index tracker.



The Institutional *Liquidity Trap*

1

2

3



Mathematical Drag:

The Silent

Extractor

When a fund grows too large, the manager's priority shifts from beating the benchmark to minimizing tracking error. You end up paying active management fees for passive index-like returns, creating a permanent drag on your compounding engine.



The Non-Negotiable

Institutional Rule

Never select a fund based on trailing 10-year absolute returns. Instead, evaluate the fund's rolling returns and downside capture ratio. This ensures the manager is delivering genuine alpha rather than just riding a market beta wave.



Your Pre-Trade **Audit Checklist**

✗ Selecting funds based on 10-year absolute return charts.

✓ Analyzing 3-year rolling returns for consistency.

✓ Checking the Downside Capture Ratio to measure risk management.



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COMMUNITY DEBATE

Have you experienced this trap? Drop your experience in the comments below 🙋

